REAL ESTATE INVESTMENT PROJECT

4874–4896 Rue Drolet, Montréal

Plateau-Mont-Royal — Mile End

Submitted to:

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FINA 210 — Winter 2026

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1. Executive Summary

This report presents a comprehensive real estate investment analysis for a multi-residential income property located at 4874–4896 Rue Drolet, in the Plateau-Mont-Royal and Mile End neighbourhoods of Montréal. The investment opportunity is evaluated across three scenarios — pessimistic, base case (likely), and optimistic — with the objective of determining whether the acquisition delivers adequate risk-adjusted returns for equity investors.

The subject property is offered at an asking price of $2,685,000, generating a Year 1 Net Operating Income (NOI) of $118,974 and implying a capitalization rate of 4.43% — consistent with comparable multi-residential transactions in this submarket. The property is currently fully tenanted, generating stable cash flows from day one with no renovation capital required.

In the base case scenario, the investment delivers a levered Internal Rate of Return (IRR) of 11.73%, against a cost of equity hurdle of 8.27%, and a positive levered Net Present Value (NPV) of $165,008. Total equity sought from outside investors amounts to $496,725, representing 17.5% of the total capitalization, structured under a limited partnership with a 50/50 profit split between limited and general partners.

Key Metric	Pessimistic	Base Case	Optimistic
Levered IRR	6.71%	**11.73%**	17.79%
Levered NPV	-$97,934	**$165,008**	$199,776
Cost of Equity Hurdle	8.71%	8.27%	12.84%
Equity Required	$565,950	**$496,725**	$428,000

2. Property Overview

The subject property is a multi-residential building situated on Rue Drolet, within the Plateau-Mont-Royal and Mile End neighbourhoods of Montréal — consistently ranked among the most sought-after rental markets in the city. The building's location is a primary driver of investment value.

2.1 Location & Accessibility

The property benefits from exceptional urban connectivity, positioned approximately two minutes on foot from Laurier Metro station and approximately eight minutes from Boulevard Saint-Laurent, one of Montréal's principal commercial corridors. This level of transit access and proximity to amenities is a fundamental competitive advantage in the residential rental market.

2.2 Physical Condition & Unit Profile

Interior units feature vinyl and parquet flooring, updated bathrooms, and functional kitchens equipped with stainless steel appliances. The property's condition confirms that no material capital expenditure is required at acquisition. The building is fully rent-ready, and this is consistent with the no-renovation investment thesis underpinning the financial model.

Units are practical in layout, offering good natural light and efficient use of space — characteristics that align directly with the preferences of the primary tenant demographic: young professionals and students.

The property additionally features a private backyard, a rare amenity within the Plateau-Mont-Royal housing stock. This outdoor space provides a meaningful competitive differentiator, supporting both premium rental pricing and enhanced tenant retention.

2.3 Acquisition Pricing

Item	Amount (Base Case)
Asking Price / Purchase Price	$2,685,000
Acquisition Costs (Likely)	$53,700
Total Capitalization (Likely)	**$2,738,700**
Year 1 NOI	$118,974
Entry Capitalization Rate	**4.43%**

3. Investment Thesis

The investment thesis for 4874–4896 Rue Drolet rests on three core pillars, each grounded in observable market data and validated by the property's current operating profile.

3.1 Immediate Income Generation

The property is currently fully occupied and generating stable rental income. There is no lease-up period, no renovation timeline, and no deferred income to model. Cash flows commence immediately upon closing. This profile substantially reduces execution risk relative to value-add or development strategies, making the investment accessible and predictable from day one.

3.2 Structural Demand in the Plateau-Mont-Royal Submarket

The Plateau-Mont-Royal and Mile End neighbourhoods consistently exhibit among the lowest vacancy rates in Montréal. With a current submarket vacancy rate of 2.1% — well below the 3% threshold that generally defines a landlord-favourable market — demand for quality rental units in this corridor remains structurally undersupplied.

The neighbourhood's average market rent of $1,460 per month represents a $315 premium over the Montréal-wide average, reflecting the premium location, transit access, and cultural amenity density that define this submarket.

3.3 Fair Market Entry Pricing

At a 4.43% entry capitalization rate — situated within the 3.5% to 4.5% range observed for comparable multi-residential transactions in this submarket — the acquisition is priced in line with market. No discount to asking price is assumed in the base case, reflecting a realistic and conservative acquisition scenario. The team is not relying on a below-market purchase to generate returns; income performance and modest appreciation are sufficient.

4. Market Analysis

4.1 Submarket Fundamentals

Indicator	Value
Submarket Vacancy Rate	2.1%
Average Market Rent (Plateau / Mile End)	$1,460 / month
Premium over Montréal-Wide Average	**+$315 / month**
Observed Cap Rate Range (Comparable)	3.5% – 4.5%

4.2 Housing Supply Environment

Housing starts in Montréal surged by 58% in 2025, representing the strongest year-over-year increase among Canada's major markets. However, on a national basis, Canadian housing starts have grown at only 0.1% CAGR between 2020 and 2025, declining marginally from 1,394,000 to 1,363,000 units. Projections to 2030 anticipate a recovery to 1.8% CAGR, reaching approximately 1,524,000 units nationally.

While incremental supply is entering the market, the pace of new construction remains insufficient to materially soften rental demand in the near term. Elevated construction costs relative to achievable rents continue to constrain developer feasibility, limiting new supply particularly in the low-to-mid-rise residential segment in which this property operates.

4.3 Macroeconomic Context

Two macroeconomic indicators are particularly relevant to the assumptions embedded in this model.

Consumer Confidence: The 3-year average consumer confidence index stands at 47.8, with the March 2026 reading at 47.5 — effectively flat and below the neutral 50 threshold. Subdued consumer sentiment encourages renting over buying, supporting stable occupancy assumptions throughout the hold period.

Interest Rate Environment: The FOMC dot plot indicates a declining rate trajectory, with rates projected to move from 3.625% in 2025 toward a long-run target of approximately 3.00%. The February 2026 unemployment rate increased to 4.4%, and rising oil prices driven by geopolitical tensions in Iran have added inflationary pressure to household costs. These conditions reinforce the case for continued central bank rate reductions, which directly benefits the mortgage assumptions embedded in each scenario.

4.4 Revenue & Wage Growth Indicators

CPI rent inflation in Canada averaged 4.9% over the prior five years, though the January 2026 reading has moderated to 3.8%. This deceleration reflects a gradually re-balancing rental market and is incorporated into the base case revenue growth assumption of 3.5% — a deliberately conservative rate relative to the long-run average.

Canadian average weekly earnings growth has similarly slowed from a 5-year average of 3.4% to 2.3% as of January 2026. Slower wage growth constrains tenants' ability to absorb rent increases, a factor that directly informs the team's decision to apply a 3.5% revenue growth assumption in the base case rather than extrapolating historical averages. Importantly, reduced wage growth also suppresses new housing starts by widening the gap between construction costs and achievable rents, which is ultimately supportive of existing landlords.

5. Tenant Profile & Neighbourhood Demographics

A rigorous understanding of the resident demographic is critical to validating occupancy and rent growth assumptions. The following data characterizes the tenant base within the subject property's primary catchment area.

Demographic Indicator	Value
Average Individual Income	$55,324
Average Family Income	$117,858
Dominant Age Group (20–34)	34% of population
Secondary Age Group (35–49)	23% of population
Tenant-Occupied Dwellings	**71%**
Owner-Occupied Dwellings	29%
University Degree Holders	57%
Bilingual Residents	72%
French Only / English Only	19% / 8%
Dwellings in Buildings <5 Floors	75%

The neighbourhood is overwhelmingly renter-dominated, with 71% of dwellings occupied by tenants. The primary demographic is Millennials aged 20 to 34, accounting for 34% of the population — a cohort that historically favours rental housing in walkable, transit-accessible, culturally vibrant urban environments. Income levels are sufficient to sustain monthly rents in the $1,400–$1,500 range with reasonable rent-to-income ratios.

The high proportion of university-educated residents (57%) is associated with greater financial stability and lower default risk. Bilingualism at 72% ensures a broad and diverse rental pool, mitigating the risk of linguistic barriers constraining tenant demand. The predominance of low-rise apartment buildings (75% of housing stock) confirms that the subject property typology is perfectly matched to the dominant form of housing in the neighbourhood.

6. Scenario Assumptions

The financial model is built around three scenarios, each reflecting a distinct view of market conditions over the 5-year hold period. All scenarios share the same base property, financing structure, and hold period, differing primarily in revenue growth, expense growth, mortgage terms, and exit pricing.

Assumption	Pessimistic	Base Case	Optimistic
Revenue Growth (p.a.)	3.0%	**3.5%**	4.0%
Expense Growth (p.a.)	3.0%	**2.5%**	2.0%
Mortgage Rate	4.20%	**3.90%**	3.50%
Loan-to-Value (LTV)	60%	**65%**	70%
Exit Capitalization Rate	4.50%	**4.43%**	4.30%

The base case is constructed on deliberately conservative assumptions. Revenue growth of 3.5% sits well below the 5-year historical average of 4.9%, and no cap rate compression is modelled at exit — the property is assumed to sell at the same capitalization rate at which it is acquired. The optimistic scenario benefits from both modest cap rate compression and a lower cost of debt, while the pessimistic scenario models a slight deterioration in exit pricing above the entry cap rate.

Mortgage terms are based on a 25-year amortization schedule with a 5-year term and a fixed interest rate of 3.90% in the base case (monthly rate: 0.322%). This yields an annual debt service of $109,032 ($9,086/month) and a Year 5 balloon payment of $1,516,651. All rate assumptions are informed by current market data sourced from nesto.ca and the Bank of Canada's published projections.

7. Deal Structure & Capital Stack

7.1 Capital Stack — Base Case

Capital Layer	Amount	% of Total
Senior Mortgage (65% LTV)	$1,745,250	65.0%
General Partner Equity (Sponsor)	$496,725	17.5%
Limited Partner Equity (Investors)	$496,725	17.5%
Total Capitalization	**$2,738,700**	**100.0%**

7.2 Investment Vehicle & Investor Terms

The investment is structured as a Limited Liability Company (LLC) organized as a limited partnership. The general partners — Antonin Le Clei, Abderrahmane Benchelabi, and Hugh Cronin — contribute 17.5% of the total equity and manage the asset throughout the hold period. Outside investors participate as limited partners, contributing an equivalent equity share of $496,725 in the base case.

Net profits are distributed on a 50/50 basis between the limited partnership class (investors) and the general partnership class (sponsor team). The hold period is 5 years.

Equity requirements vary by scenario: $565,950 is required from outside investors in the pessimistic case (reflecting the lower 60% LTV), and $428,000 in the optimistic case (reflecting the higher 70% LTV). The base case equity ask of $496,725 represents the most probable capital requirement.

8. Return Analysis

8.1 Base Case Returns

Return Metric	Base Case Value
Unlevered IRR	7.14%
WACC (Unlevered Hurdle)	5.43%
Unlevered NPV	+$211,475
Levered IRR	**11.73%**
Cost of Equity (Levered Hurdle)	8.27%
Levered NPV	**+$165,008**
IRR Spread over Hurdle	+3.46 p.p.

In the base case, both the unlevered and levered IRRs exceed their respective hurdle rates, and both NPVs are positive. The levered NPV of +$165,008 represents the value created above and beyond the required cost of equity, confirming that the investment generates alpha for equity investors. The levered IRR spread of approximately 3.5 percentage points above the cost of equity hurdle constitutes a meaningful risk premium.

8.2 Scenario Comparison

Metric	Pessimistic	Base Case	Optimistic
Unlevered IRR	5.28%	**7.14%**	9.08%
WACC Hurdle	6.00%	5.43%	6.30%
Unlevered NPV	-$85,014	**+$211,475**	+$345,330
Levered IRR	6.71%	**11.73%**	17.79%
Cost of Equity Hurdle	8.71%	8.27%	12.84%
Levered NPV	-$97,934	**+$165,008**	+$199,776

The pessimistic scenario produces a negative levered NPV of -$97,934, indicating that returns fall short of the cost of equity hurdle by approximately 2 percentage points. It is important to note that a negative NPV does not imply a loss of capital. In the pessimistic case, the levered IRR of 6.71% still represents a positive absolute return to investors; the shortfall is relative to the required rate of return, not to the invested principal. The risk-reward profile is asymmetric and investor-favourable: the upside in the optimistic case (17.79% IRR, +$199,776 NPV) substantially exceeds the downside in the pessimistic case.

9. Risk Identification & Mitigation

The following risks have been identified as material to the investment outcome. For each risk, the mitigation approach embedded in the financial model is described.

9.1 Montréal Rental Market Softening

Revenue growth in the base case is modelled at 3.5% per annum — materially below the 5-year historical average of 4.9% for CPI rent inflation. This conservative assumption provides a buffer against demand-side softening. Plateau-Mont-Royal has historically maintained strong occupancy through economic cycles, and even the pessimistic scenario models positive NOI throughout the hold period.

9.2 Expense Inflation

Operating expense growth is modelled at 2.5% to 3.0% annually across scenarios. In both the base and optimistic cases, revenue growth exceeds expense growth, providing a natural hedge to net income compression. NOI projections reflect realistic cost escalation and do not rely on expense containment beyond typical landlord management practices.

9.3 Vacancy & Credit Loss Risk

The property is currently fully tenanted, eliminating near-term vacancy risk. The financial model incorporates a vacancy and credit allowance of 2.5% in the pessimistic scenario and 1.0% in the optimistic case. The base case applies a moderate allowance that does not assume full occupancy. The neighbourhood's 2.1% structural vacancy rate and the high creditworthiness of the local tenant demographic (57% university-educated, median income supportive of rents) further mitigate this risk.

9.4 Exit Cap Rate Risk

The base case models an exit capitalization rate of 4.43% — identical to the entry cap rate. No cap rate compression is assumed. In the pessimistic scenario, the exit cap rate is modelled at 4.50%, representing mild market deterioration at the point of sale. Even under this assumption, investors recover their principal with a positive absolute return. The investment thesis does not depend on market appreciation or favourable cap rate movement to generate returns.

10. Conclusion

The acquisition of 4874–4896 Rue Drolet represents a straightforward, income-first real estate investment anchored by a high-quality submarket, a fully tenanted property requiring no capital renovation, and a conservative financial model built on assumptions that deliberately understate historical performance benchmarks.

In the base case, the investment delivers a levered IRR of 11.73% — a spread of approximately 3.5 percentage points above the cost of equity hurdle of 8.27% — and a positive levered NPV of $165,008. The optimistic scenario projects a levered IRR of 17.79% with an NPV of $199,776, representing meaningful upside to base expectations. In the pessimistic case, investors still earn a positive absolute return of 6.71%, with no capital impairment.

The no-renovation profile eliminates execution risk, the Plateau-Mont-Royal submarket provides structural demand support, and the entry pricing at 4.43% cap rate ensures no overpayment relative to current income generation. The team believes this investment represents a compelling risk-adjusted opportunity in one of Montréal’s most resilient residential rental markets.

"The best investment you can make is in a good asset at a fair price."